

Small-Cap Short Statistics

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Three Trading Strategies That Made \$50M: Gap Up Short, Bounce Short, First Red Day

Summary of the video "If You Only Watch One Trading Strategy Video, Make It This" by Chart Fanatics.

Steven Ducks breaks down three small-cap trading strategies backed by 10 years of statistical data: gap up shorts (75% win rate, 50-70 trades/year), bounce shorts (80-85% win rate, 30 trades/year), and first red day plays (90% win rate, 5-10 trades/year). Each strategy has strict criteria around market cap, float, volume, and sector to maximize probability and manage risk at scale.

Steven Ducks' Trading Journey & Philosophy

From \$27K to \$50M+ in 2025

Steven Ducks grew his account from \$27,000 to over \$50 million in 2025 alone, with individual trades reaching \$7-10 million. His success is built on precise statistical analysis and human psychology, not luck.

Strategy Must Align with Psychology & Logic

Every strategy must be fundamentally tied to either human psychology or logical market mechanics. If a strategy doesn't make psychological or logical sense, it won't work consistently, regardless of past results.

Test Strategies Before Trading Real Money

Before implementing any strategy with real capital, traders must backtest and simulate it themselves to understand the statistics, win rates, and expected annual returns. This eliminates FOMO and emotional trading.

Universal Criteria for All Three Strategies

Market Cap & Float Ranges

All three strategies work only on small-cap stocks with market cap between \$1-100 million (first red day can go to \$200M) and float between \$1-50 million. Float is categorized as very low (\$1-2M), mid (\$2-5M), or large (\$5-10M).

Minimum Stock Price: \$3+

All three strategies require stocks trading above \$3 per share. Stocks below this threshold mess with statistical accuracy and create execution problems.

Sectors to Avoid: Biotech, Energy, Chinese Stocks

Biotech reduces win rate by 20-30% due to unpredictable volatility. Energy sector also underperforms. Chinese stocks risk trading halts with zero liquidity to exit, causing 100%+ losses.

Pre-Market Volume Estimation

Pre-market volume is multiplied by 5-10x to estimate full-day volume. If pre-market trades 50M shares, expect 500M-1B shares for the day. Volume concentrates 9:30-11:30 AM (30-35% of daily volume).

Strategy 1: Gap Up Short

What Is a Gap Up Short

A stock gaps up 70-1000% at market open, then consolidates. The strategy shorts the breakdown after consolidation ends, targeting a 20-35% fade from the intraday high.

Gap Up Short Criteria & Filters

Market cap under 100M, float under 50M, pre-market volume under 50M (if over 50M, too crowded to trade). Avoid biotech, energy, and Chinese stocks. Gap must be above 100%.

Gap Up Short Statistics & Frequency

Gap up shorts occur 50-70 times per year with a 75%+ win rate. Average fade is 26% from intraday high. Risk-to-reward ratio is typically 1:3.5 to 1:4.

Entry & Exit for Gap Up Short

After gap up and consolidation (typically 1-2 hours), enter partial position on first breakdown. Add full position when momentum cracks 3-5% below consolidation. Stop loss above consolidation high. Target 20-35% fade.

Float-Based Sizing Rules

Position sizing depends on float category. Very low float (1-2M) allows larger positions; higher floats require smaller sizing. Average push percentage is 30-35% for 1-2M float, 20-25% for 5-10M float.

Strategy 2: Bounce Short

Bounce Short Psychology & Setup

A stock spiked to resistance on high volume 1+ year ago, then flatlined. When it gaps back up near that old resistance, trapped longs want to exit. This creates massive selling pressure that shorts ride down.

Bounce Short Dollar Block Calculation

Calculate the dollar amount stuck at the old resistance: volume traded at resistance $\times$ price. Example: 25M shares $\times$ \$5 = \$125M block. This must be 150M+ to be ideal. Compare to estimated intraday volume (pre-market $\times$ 10, reduced 50-80% due to selling pressure).

Bounce Short Volume Ratio & Win Rate

The ratio of trapped volume to intraday volume determines win rate. A 2:1 ratio (trapped volume 2x intraday volume) is strong; 10:1 is exceptional. Bounce shorts occur 30 times/year with 80-85% win rate.

Bounce Short Fade Patterns: Type 1 vs Type 2

Type 1: Stock gaps directly to resistance without pre-market volume (higher win rate). Type 2: Stock builds volume from bottom, goes parabolic, then fades (lower win rate). Type 1 fades 75% from top; Type 2 fades only 50%.

Bounce Short Sizing Limits

Never exceed 10% of float or 1% of daily volume. Oversizing breaks supply/demand dynamics. At large account sizes, must cover position gradually to give supply back to market and let price react naturally.

Bounce Short Entry & Exit

Enter closer to consolidation price for less risk. Exit gradually on the way down, not all at once, to allow supply back into market. The closer entry to consolidation, the more size you can take.

Strategy 3: First Red Day

First Red Day Setup Requirements

Stock must have 3+ consecutive green days with increasing volume and 300%+ range (or 1000%+ for 2-day setup). No red days allowed in between; one red day resets the count. Market cap under 200M ideal.

First Red Day: Predicting the Top

Stocks stop rising when they hit a dollar amount ceiling based on initial market cap. Under \$50M cap: ~\$1B; \$100M cap: ~\$3B; \$200M+ cap: \$5-10B. Calculate daily volatility (30-50%) to predict which day reaches the ceiling.

First Red Day Statistics & Frequency

First red day occurs 5-10 times per year with 90%+ win rate. Unlike gap up and bounce shorts (max 1-1.2M size), first red day allows multi-million share positions, enabling account growth from single trades.

First Red Day Entry Strategy

On the final green day (day before first red), enter only 1/4 position at open because momentum is still strong and bounces rarely occur. Wait for second day (first red day) when pre-market volume drops 50-80% to enter remaining 3/4 position. Stop loss above consolidation.

First Red Day Risk Management

Average risk on first red day is 10-15% (stop above consolidation), but win rate is 90%+, making risk-to-reward favorable. Avoid shorting on the final green day when volume is extreme; wait for second day when volume drops significantly.

First Red Day vs Gap/Bounce Shorts

Gap and bounce shorts max out at 1-1.2M shares per trade; first red day allows 10M+ shares. This is why first red day is the primary wealth-building strategy. The larger size combined with 90%+ win rate enables exponential account growth.

Real Trade Examples

GME Bounce Short: 1.5M Profit in 15 Minutes

GME had a 10:1 volume ratio (trapped volume vs intraday volume), one of the highest ratios ever seen. The stock crashed 50% at open, and Steven made \$1.5M in 15 minutes by riding the selling pressure.

Beyond Meat First Red Day Example

Beyond Meat had 3 consecutive green days with increasing volume and 300%+ range. On the first red day, it gapped down and crashed. This is a textbook first red day setup that Steven used to make millions.

Bird Gap Up Short: Crowded Day Avoidance

Bird traded 70M shares in pre-market, exceeding the 50M threshold. This made it too crowded for gap up short. The stock spiked but consolidation held, and the fade was reduced due to high volume. Shows importance of filtering.

Silver First Red Day: Learning from Mistakes

Silver had a classic first red day setup but Steven took losses trying to short on the way up before the first red day. He learned to wait for the second day when volume drops. This trade taught the importance of patience and timing.

Key Insights & Takeaways

Statistics Drive Sizing & Conviction

Win rate and volume ratios determine position size. Higher win rates and volume ratios = larger positions. Lower metrics = smaller positions. This data-driven approach prevents overleveraging on low-probability setups.

Human Psychology + Market Mechanics = Edge

All three strategies combine human psychology (trapped longs, FOMO, panic selling) with market mechanics (supply/demand, volume concentration, dollar blocks). Strategies without both elements fail.

Larger Account Sizes Require Different Game

At multi-million dollar position sizes, Steven must cover gradually and manage market impact. Oversizing breaks supply/demand and turns winning setups into losses. Precision becomes even more critical.

10 Years of Hand-Tracked Data

Steven tracked every trade by hand from 2015-2025, recording market cap, float, volume, sectors, and outcomes. This manual process revealed the precise criteria that work. No shortcuts; data is the foundation.

Avoid Crowded Tickers on First Green Day

If pre-market volume exceeds 50M or float rotates 15+ times, reduce size significantly or skip. Crowded tickers have reduced fade potential and higher risk of breakouts. Wait for less crowded setups.

Notable quotes

Shorting has to be very precise or you are taking huge amount of risk and potentially lose more than 100%. — Steven Ducks

Trading is all about supply and demand. If there's lower float higher volume of course the stock's going to push much higher. — Steven Ducks

Make sure that whenever you are designing a strategy, it's fundamentally tied to either human psychology or logically make sense. — Steven Ducks

Action items

Backtest each strategy (gap up short, bounce short, first red day) on historical data to understand win rates and expected annual returns before trading real money.

Create a spreadsheet to track market cap, float, volume, sector, and outcomes for every setup you encounter to build your own statistical database.

Set strict filters: exclude biotech, energy, and Chinese stocks; verify market cap under 100M (200M for first red day) and float under 50M.

For gap up shorts: wait for 100%+ gap, consolidation, then enter on breakdown with stop above consolidation high. Target 20-35% fade.

For bounce shorts: calculate dollar block at old resistance (must be 150M+), compare to intraday volume estimate, and enter near consolidation with stop above high.

For first red day: identify 3+ consecutive green days with increasing volume and 300%+ range. Enter 1/4 position on last green day, wait for first red day when pre-market volume drops 50-80%, then enter remaining 3/4 position.

Size positions based on win rate and volume ratios: higher metrics = larger size, lower metrics = smaller size. Never exceed 10% of float or 1% of daily volume.

Track pre-market volume and multiply by 5-10x to estimate daily volume. Recognize that 30-35% of daily volume trades 9:30-11:30 AM.

Practice calculating dollar blocks and volume ratios to predict which day a multi-day runner will top out.

Avoid trading crowded tickers (pre-market volume over 50M or float rotation over 15x) on the first green day; reduce size or skip entirely.

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